

Mineral price and pricing

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Value-price of production, not depend on demand supply

Price-money at which a commodity is actually sold, depend on demand supply

International monetary system

- ▶ The international monetary system refers to the operating system of the financial environment, which consists of financial institutions, multinational corporations, and investors. **The international monetary system provides the institutional framework for determining the rules and procedures for international payments, determination of exchange rates, and movement of capital.**
- ▶ The major stages of the evolution of the international monetary system can be categorized into the following stages.
- ▶ **The era of bimetallism:** Before 1870, the international monetary system consisted of bimetallism, where both gold and silver coins were used as the international modes of payment. The exchange rates among currencies were determined by their gold or silver contents. Some countries were either on a gold or a silver standard.
- ▶ **Gold standard:** The international gold standard prevailed from 1875 to 1914. In a gold standard system, gold alone is assured of unrestricted coinage. There was a two-way convertibility between gold and national currencies at a stable ratio. No restrictions were in place for the export and import of gold. The exchange rate between two currencies was determined by their gold content.

- ▶ **Gold exchange standard:** This system advocated the adoption of an exchange standard that included both gold and foreign exchanges. Under this system, each country established a par value in relation to the US dollar, which was pegged to gold at \$35 per ounce. Under this system, the reserve currency country would aim to run a balance of payments (BOPs) deficit to supply reserves.
- ▶ **Flexible exchange rate regime:** The flexible exchange rate regime was formally ratified in 1976 by IMF members through the Jamaica Agreement. The agreement stipulated that central banks of respective countries could intervene in the exchange markets to guard against unwarranted fluctuations. In general there are many flexible exchange rate systems. In a free-floating or independent-floating currency, the exchange rate is determined by the market, with foreign exchange intervention occurring only to prevent undue fluctuations.

Factors affecting mineral price,

At the micro level

- ▶ Levels of capacity utilization
- ▶ The sales volumes at any given time
- ▶ The size of the order at any given consumer
- ▶ The extent of long standing relations with a consumer
- ▶ The potential that is seen to exist in the given market
- ▶ The nature of the product

At macro level

- ▶ Reserve and cut off grade
- ▶ Protection to consumers
- ▶ Stocks/Demands
- ▶ Geological mode of occurrence
- ▶ Inflation and input cost
- ▶ Performance of industry
- ▶ Unions and associations (MMTC, CSO, OPEC)
- ▶ Statutory price

At macro level

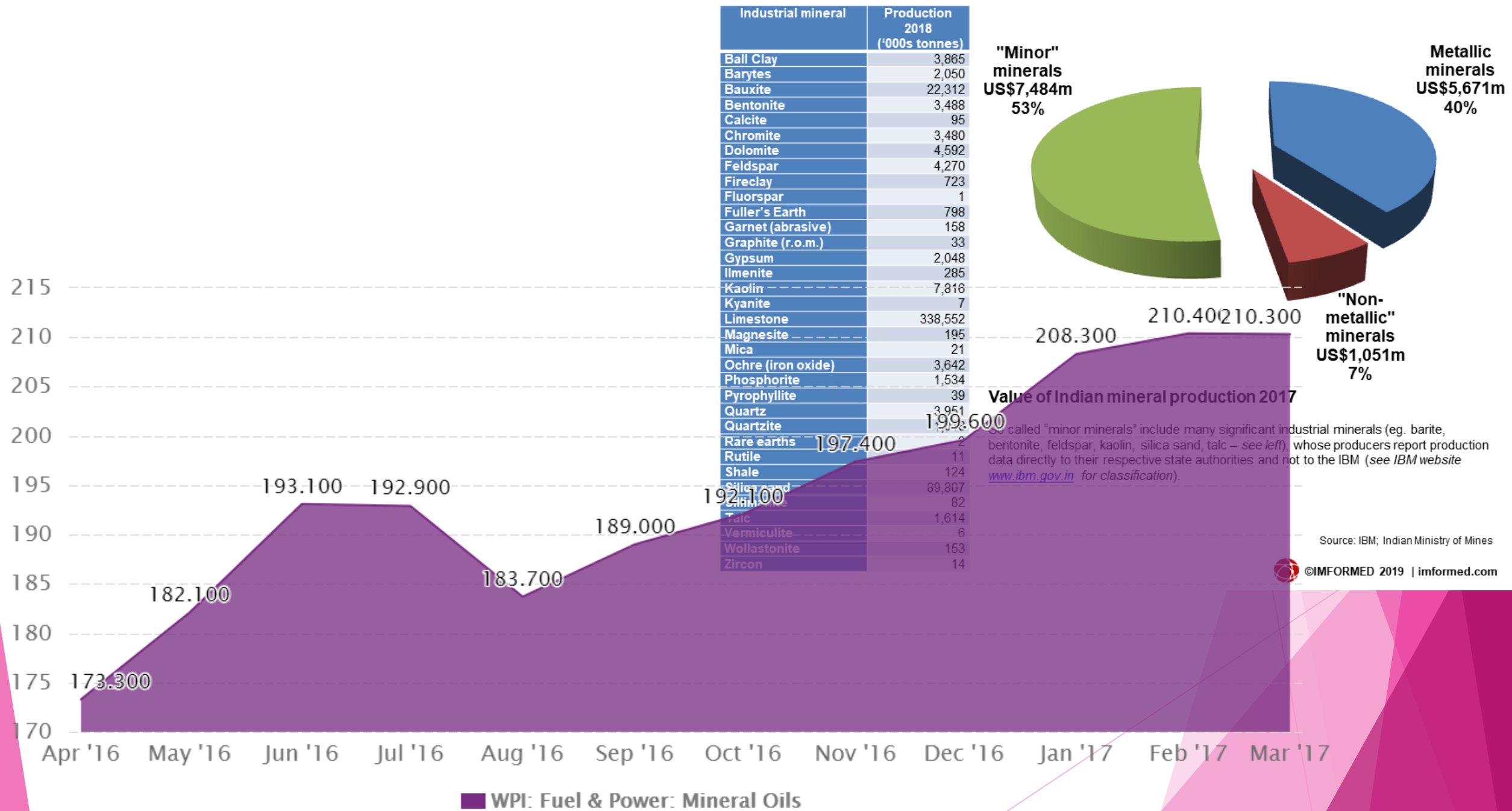
- ▶ Protection to domestic producers
- ▶ International price
- ▶ Sales promotion
- ▶ Obligations or IMF
- ▶ Exchange rate
- ▶ Taxation policy
- ▶ Market forces
- ▶ Interrelation amongst commodities
- ▶ Mineral price index

kinds of price quotation

- ▶ From the point of production up to that of sale, each stage involves addition of some cost. As a result, price of a mineral commodity depends on the stage at which it is sold. Broadly, the price includes one or more of the different costs incurred , i.e. cost of production, cost of transportation, cost of loading, etc. while cost of loading depends on the type of transports, the cost of transportation depends on the distance up to which the commodity is transported for sale. Accordingly, prices are usually quoted by traders with reference to the type of transport and also with reference to the market place. Different kinds of price quotations are:-
- ▶ **P.M.V. price:** Pits mouth value (cost of mining, dead rent, royalty, other taxes for mining)
- ▶ **Ex-Pit or Ex-mine price** (ore brought to the pits mouth is broken to salable size and prepared for sale)
- ▶ **F.A.S. price:** free alongside ship (mineral transported to the port side, this price includes the ex pit price, the cost of transportation, cost of unloading, maintenance of dump yard, cost of export duties etc.)
- ▶ **F.I.D.price:** free into container depot (transported to railway siding but to container depot)
- ▶ **F.O.R. price:** free on rail (loaded into railway wagons)
- ▶ **F.O.B price:** free on board (PMV, transportation to port, and loading into the vessel)
- ▶ **F.O.B.T price:** free on board and trimmed
- ▶ **C. I. M price:** cost , insurance and freight (FOBT price are added in the insurance and ocean freight charges)

Mineral price index,

- ▶ In India the index of mineral production (excluding atomic minerals) (with base year 2011-12=100), covering the selected minerals. The criteria for selecting these minerals are as:
- ▶ Price quotations for the minerals should be available on a continuous basis.
- ▶ The minerals should be sold in the market as such, and not consumed directly in the captive plants of the producers for manufacturing finished products.
- ▶ The bullions (gold and silver) are not considered
- ▶ Sale of the minerals should not be effected by auction
- ▶ Market transactions should be significant
- ▶ The minerals specified as prescribed substances under atomic energy act 1962 are not considered
- ▶ The minor minerals are not considered.



Method of Mineral Price Calculation

- ▶ 1. Construction of weighting diagram, the weights have been assigned on the basis of gross pit head value of production of minerals during the base year.
- ▶ 2. Calculation of actual indices:
- ▶ First, the index of each grade of a mineral is calculated by considering weighted mean of the grade-wise indices,:

$$\text{Index for an individual mineral} = \frac{\sum [(\text{index of each grade}) \times (\text{weight assigned to that grade})]}{\text{Total weight of the mineral}}$$

- ▶ 3. the index for each group (i.e. fuel, metallic or non-metallic) is calculated from the indices of the individual minerals constituting the group by taking, similarly, the weighted mean. The general formula is

$$\text{Price index of the current year} = \frac{\sum (P_i \times W_i)}{W_i \text{ (weight assigned to the } i\text{th item in the base year)}}$$

$$P_i = \frac{(\text{current year's price of the } i\text{th item}) \times 100}{(\text{base year's price of the } i\text{th item})}$$

Wholesale Price Index of non-metallic mineral products across India from financial year 2013 to 2021



Source
OEA (India)
© Statista 2021

Additional Information:
India; FY 2013 to FY 2021; Base year 2012 = 100

Mineral prices

- ▶ Mineral prices vary according to grade, form, market and kind of quotation. In India the IBM maintains and publishes detailed statistics regarding all these aspects.

Royalti: [Royalty rates.pdf](#)

MINING INDUSTRY

The index of mineral production (excluding atomic minerals) (with base year 2011-12=100) for 2018-19 was at 107.9 and displayed a growth of 2.9% as compared to the previous year.

The total value of mineral production (excluding atomic minerals, fuel and minor minerals) was at ₹ 73,257 crore during 2018-19.

The value of metallic minerals in 2018-19 at ₹ 64,042 crore increased by about 26% over the previous year. Among the principal metallic minerals, iron ore contributed ₹ 45,184 crore (71%), lead (concentrate) & zinc (concentrate) together ₹ 7,240 crore (11%), chromite ₹ 3,584 crore (about 6%), manganese ore ₹ 2,270 crore (about 4%), silver ₹ 2,582 crore (4%), bauxite ₹ 1,717 crore (3%) and the remaining value was from copper (ore & concentrate), gold (ore & metal), lead & zinc ore and tin concentrates (Table-1).

In metallic ores, production increased in respect of copper ore (12%), gold ore (3%), lead & zinc (9%), manganese ore (8%), chromite (14%), bauxite (4%) and iron ore (2.5%) during the year 2018-19 as compared to the previous year.

The value of production of non-metallic minerals at ₹ 9,215 crore during 2018-19 increased by 4% as compared to the previous year. Limestone with a contribution of 92% of the total value of non-metallic minerals, retained its leading position in 2018-19 in the group. The other important non-metallic minerals in value terms, were phosphorite/rock phosphate (4%) and garnet (abrasive) (2%).

Table – 1 : Indian Mineral Industry : Value of Production*
2016-17 to 2018-19

Sector	(In ₹ crore)		
	2016-17 (R)	2017-18 (R)	2018-19 (P)
Total : All Minerals	47789	59831	73257
Metallic minerals	39760	50976	64042
Non-metallic minerals	8029	8855	9215

* Excluding the minerals declared as prescribed substances under the Atomic Energy Act, 1962; fuel minerals and minor minerals.

Thanks